

New York Office Leasing Surge Is a Bet on Talent, Not on Policy

Record leasing volume signals corporate commitment to New York, but capital markets should watch the tax and policy risk underneath.

What \$78.03 reveals

\$78.03

Key figure

The second largest bank in the country

The second largest bank in the country. The biggest cosmetics company in the world. Two of the top 50 U.S. law firms. And a score of AI companies. In the last three months, they all signed long-term leases for office space in New York City. The headline is a leasing boom.

That distinction matters for anyone underwriting office debt or equity in Manhattan today

The market signal is something more specific: corporate tenants are making 10- to 20-year location bets on talent concentration, not on the political climate. That distinction matters for anyone underwriting office debt or equity in Manhattan today. The leasing volume is real. Colliers reports that first-half 2026 leasing reached about 23 million square feet. If the second half matches, it will be the highest annual total since 2000.

Average asking rent jumped 6 percent year-over-year to \$78.03

Vacancy dropped nearly a full point to 13 percent. Average asking rent jumped 6 percent year-over-year to \$78.03 per square foot. Those are not recovery numbers. Those are expansion numbers. But the capital markets question is not whether tenants are signing. It is what happens to those leases if the policy environment shifts.

That is not idle lobbying

Mayor Zohran Mamdani, a democratic socialist, has allies in the Democratic Socialists of America preparing to push for new taxes on the wealthy and corporations after the November election. The Real Estate Board of New York is already warning that the surge in leasing reinforces the need for policies that keep New York competitive. That is not idle lobbying.

What are those factors?

It is a recognition that the current leasing cycle is being driven by factors that policy can alter. What are those factors? Financial services companies are enforcing strict return-to-office mandates. AI companies, led by Anthropic and a wave of startups, are clustering in New York for talent. Professional services firms are following their clients and their workforce. These are structural decisions about where to locate headquarters and innovation hubs.

They are not easily reversed

They are not easily reversed. But they are also not immune to cost increases. A significant tax hike on corporations or high-income earners would raise the effective cost of occupying New York office space. It would not cancel leases already signed. It would slow the next wave of renewals and expansions. The diversity of New York's tenant base is a genuine strength.

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San Francisco, despite benefiting even more from AI growth, still has over 22 percent vacancy. New York's mix of financial services, tech, law, consumer goods, and media provides a broader demand base. That diversification reduces the risk that any single sector downturn will crater the market. But it does not eliminate the risk that a policy shift could compress the margin that makes New York office space worth the premium.

That is positive for refinancing and asset valuations

For lenders and investors, the implication is straightforward. The leasing data supports higher rent growth and lower vacancy assumptions for the near term. That is positive for refinancing and asset valuations. But the underwriting horizon for office debt is typically five to ten years. The policy horizon is the next election cycle.

Anyone financing a Manhattan office building today is implicitly betting

Anyone financing a Manhattan office building today is implicitly betting that the current tenant demand will persist through a potential tax regime change. That is a bet on the stickiness of corporate location decisions, not on the stability of the political environment. The landlords who benefit most are those with Class A assets in prime submarkets where the largest tenants are concentrating.

The market should watch two things

The owners of older, less well-located buildings still face conversion pressure and obsolescence risk. The near-collapse of the former Pfizer building on 42nd Street is a reminder that the conversion trend is not without its own risks. But for the top tier of the market, the leasing data provides a credible basis for higher valuations and more aggressive underwriting. The market should watch two things.

Second, whether the current leasing pace can be sustained into 2027

First, the November election and the subsequent tax policy debate. Second, whether the current leasing pace can be sustained into 2027. If the second half of 2026 matches the first, the market will have absorbed a record amount of space. That would tighten vacancy further and push rents higher. But it would also mean that the next wave of demand will be harder to generate.

Why it matters

Capital that ignores that distinction is capital that will learn the hard way.

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